

May 27, 2026 04:42 AM GMT

Hong Kong Property | Asia Pacific

Expert Call on Real Estate with Knight Frank

Key Takeaways

- We hosted an expert call with Mr William Lau, Mr Keith Chan and Mr Jonathan Wright of Knight Frank on the residential & office sectors. Key takeaways include:
- (+) Knight Frank expects 2026 mass residential prices to be up 8-10%, luxury residential to be up 5-8%, and central office rental to be up 8-12%
- (+) Luxury home (>US\$10m) prices grew 0.5%YoY in 2025 (-8% vs 2021). Wealth is moving back to HK (from SG/Mid East). Dubai was the largest luxury market in '25
- (+/-) Grade-A office rentals recovery is nuanced, with Premium Central +9.2% YoY in 1Q26, while rent in Island East declined by 10.6% YoY
- (-) According to Knight Frank, interest rates are not a cause for worry, but high level of inventory (20k currently vs. 12k in 2021) is.

(=) **Inventory months** have collapsed to 11.7 months (vs peak at 23.5), as 20k units compares to 28k at the peak.

(+) **Office demand:** Net take-up was contributed by BFSI (44% of total), where existing firms are expanding and others are taking flight to quality. Surprisingly, strong demand (18%) came from flex space. PP spot rental is up. CKC II has seen flurry of deals in the last three months, "The Henderson" is nearly full, and IGC is seeing a lot of demand from banks and wealth managers.

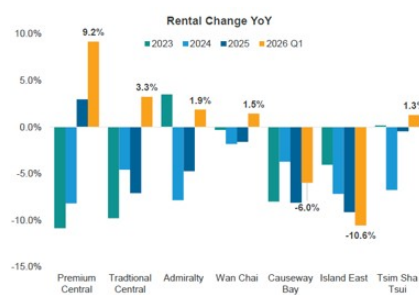
Our view: The recent pullback in share prices may be related to the interest rate outlook. Our macro analysts are expecting no change in rates in 2026, and then two cuts in 2027. Thus, we keep our Attractive Industry View on the sector. Top ideas include: **CK Asset, Henderson Land, SHKP, Hongkong Land, and Link REIT.**

Exhibit 1: Knight Frank's Residential Market Outlook in 2026



Source: Knight Frank, Morgan Stanley Research

Exhibit 2: Grade-A Office Rental Change YoY



Source: Knight Frank, Morgan Stanley Research

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HONG KONG PROPERTY

Asia Pacific

Industry View

Attractive

Previous reports:-

[Hong Kong Property: Green Lights: Start of an Upcycle \(5 Jan 2026\)](#)

[Hong Kong Property: Recovery Broadening to Office and Retail \(3 May 2026\)](#)

[Hong Kong Property: HK Developers: How Much More? \(5 Mar 2026\)](#)

[Hong Kong Property: Residential turning after 7 years \(19 Jun 2025\)](#)

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Valuation Methodology and Risks

Henderson Land (0012.HK)

Base-case value, derived from sum-of-the-parts valuation. We value the core business by applying a 30% discount to our forward NAV estimate, 1SD above historical average.

Risks to Upside

- Faster-than-expected home price recovery
- Improving DP margin
- Better-than-expected premiums for agricultural landbank conversion
- Sale of non-core assets at low cap rate

Risks to Downside

- Higher-than-expected interest rate
- Weak sell-through of new project launch
- Rising balance of shareholders' loans

Sun Hung Kai Properties (0016.HK)

Base-case scenario value, derived from a sum-of-the-parts approach.

Development properties: DCF (WACC 8.5% HK, 11% China)

Investment properties: cap rates (HK office 4.75%, HK retail 5.75%, China office and retail 8%).

Target NAV discount at 25%, 1.5SD above its historical average.

Risks to Upside

- Sustainable recovery in primary residential sales in HK
- Better-than-expected sell-through of project launches
- Faster ramp-up on new investment projects

Risks to Downside

- Macro risk, medium-term interest rate increases and regulatory concerns
- Weaker-/slower-than-expected residential sales in HK and China
- Sluggish demand and slow sell-through of residential units in HK
- Weaker office and retail rentals in HK/China

Link REIT (0823.HK)

Base case scenario value, derived from a target 12-month forward dividend yield of 5.65%.

The target forward dividend yield is composed of a 4.05% 10-year US Treasury yield (MSe by end-2026) and a spread of 1.6% (1SD above long-term average since 2011).

Risks to Upside

- Upcoming rates cut for further yield compression
- Potential REIT inclusions of Stock Connect to boost fund flows
- Possible value-accretive acquisitions

- Faster-than-expected progress on Link 3.0 strategy execution

Risks to Downside

- Slower-than-expected Fed rate cut
- Further deterioration in Hong Kong retail and office
- Longer-than-expected transition in key management

CK Asset Holdings Ltd (1113.HK)

Base-case value, derived from a sum-of-the-parts valuation. We apply a 30% target discount to NAV, 1.5SD above historical average, given better-than-expected home price recovery and defensive gearing level.

Risks to Upside

- Announcement of a new buyback plan
- Successful launch of its residential projects in Hong Kong
- Successful acquisition of sizable recurring income business such as infrastructure

Risks to Downside

- Deeper conglomerate discount if more geographically diverse assets are added
- Pure-play property investors exiting
- Higher cost pressure in its pub and hotel businesses
- Higher-for-longer interest rate environment

Hongkong Land (HKLD.SI)

Base case scenario value, from sum-of-the-parts analysis.

HK office and HK retail: Gross cap rates of 4.75% and 5.75%, respectively.

China DP: 1x EV/Asset, reflecting current book value.

20% NAV discount: 1SD above long-term average since 2011.

Risks to Upside

- Faster-than-expected capital recycling
- Value-accretive acquisitions
- Turnaround in Hong Kong retail and office

Risks to Downside

- Core business EBIT to remain challenged
- A lot of upside already in the price
- Difficulty sourcing third-party capital
- Difficulty recycling capital
- Worse-than-expected supply/demand mismatch in Hong Kong office market

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

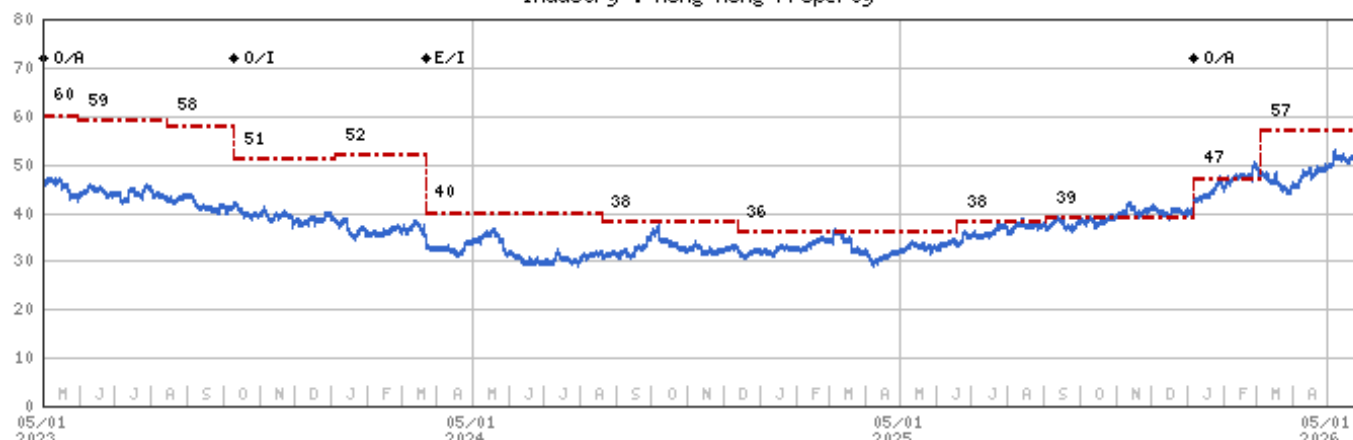
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

CK Asset Holdings Ltd (1113.HK) - As of 05/27/26 GMT in HKD
Industry : Hong Kong Property



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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Henderson Land (0012.HK) - As of 05/27/26 GMT in HKD
Industry : Hong Kong Property



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Hongkong Land (HKLD.SI) - As of 05/27/26 GMT in USD
Industry : Hong Kong Property



Stock Rating History: 5/1/21 : O/A; 12/16/21 : O/C; 12/7/22 : O/A; 10/11/23 : O/I; 1/5/24 : E/I; 5/19/25 : O/I; 1/6/26 : O/A

Price Target History: 3/15/21 : 6.2; 7/27/21 : 6.1; 12/16/21 : 7.3; 3/7/22 : 7; 7/20/22 : 6.4; 12/7/22 : 5.2; 2/8/23 : 5.8; 3/7/23 : 5.9; 1/5/24 : 3.8; 12/13/24 : 4.8; 5/19/25 : 5.8; 8/13/25 : 6.5; 1/6/26 : 7.6; 5/4/26 : 9

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

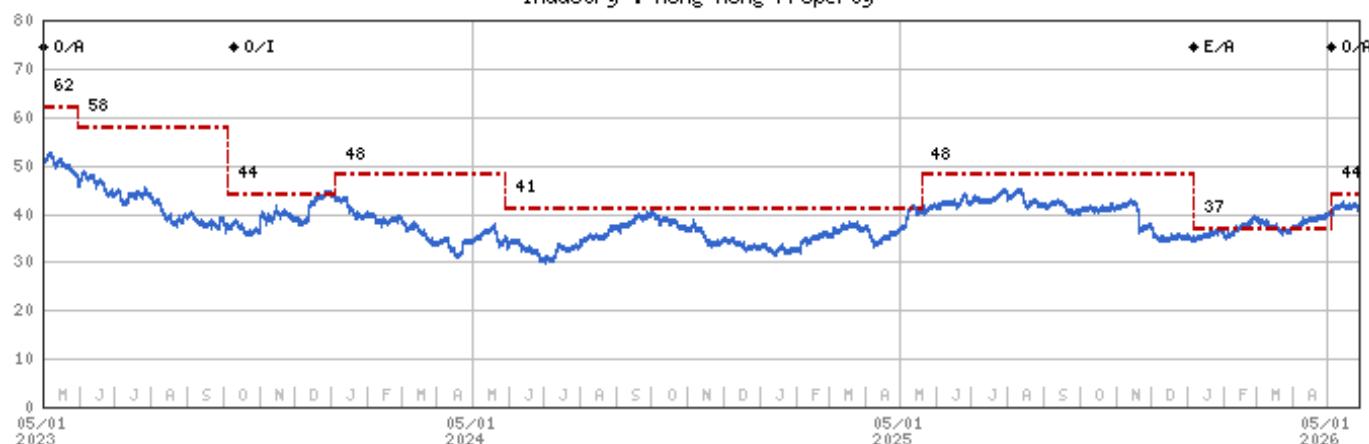
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Link REIT (0823.HK) - As of 05/27/26 GMT in HKD
Industry : Hong Kong Property



Stock Rating History: 5/1/21 : O/A; 12/16/21 : O/C; 6/16/22 : E/C; 11/10/22 : O/C; 12/7/22 : O/A; 2/8/23 : E/A; 3/28/23 : O/A; 10/11/23 : O/I; 1/6/26 : E/A; 5/4/26 : O/A

Price Target History: 2/19/21 : 78; 6/18/21 : 86; 11/11/21 : 88; 12/16/21 : 79; 6/2/22 : 78; 6/16/22 : 71; 10/24/22 : 60; 2/8/23 : 68; 2/14/23 : 62; 5/31/23 : 58; 10/5/23 : 44; 1/5/24 : 48; 5/29/24 : 41; 5/19/25 : 48; 1/6/26 : 37; 5/4/26 : 44

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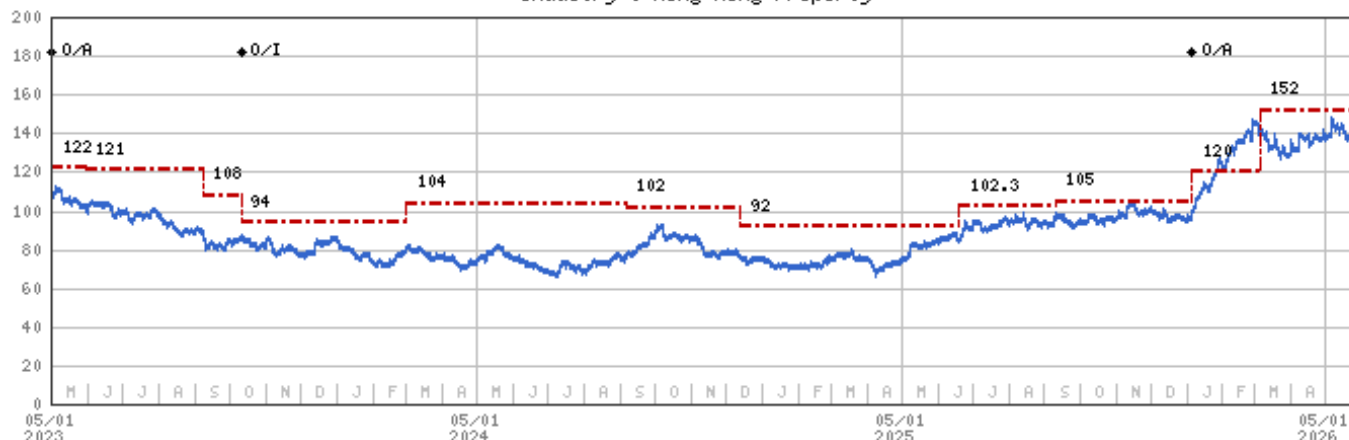
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Industry : Hong Kong Property



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Price Target History: 12/10/20 : 133; 7/27/21 : 135; 9/13/21 : 139; 12/16/21 : 106; 2/25/22 : 103; 7/20/22 : 102; 9/9/22 : 100; 12/7/22 : 113; 2/8/23 : 124; 2/28/23 : 122; 5/30/23 : 121; 9/8/23 : 108; 10/11/23 : 94; 3/1/24 : 104; 9/6/24 : 102; 12/13/24 : 92; 6/19/25 : 102.3; 9/10/25 : 105; 1/6/26 : 120; 3/5/26 : 152

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Hong Kong Property

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/26/2026)
Praveen K Choudhary		
CK Asset Holdings Ltd (1113.HK)	O (01/06/2026)	HK\$49.66
Hang Lung Properties Ltd. (0101.HK)	O (09/05/2025)	HK\$8.15
Henderson Land (0012.HK)	O (05/04/2026)	HK\$31.66
Hongkong Land (HKLD.SI)	O (05/19/2025)	US\$7.77
Hysan Development Company Ltd. (0014.HK)	E (01/06/2026)	HK\$18.79
Kerry Properties (0683.HK)	E (05/30/2023)	HK\$22.70
Link REIT (0823.HK)	O (05/04/2026)	HK\$40.44
New World Development (0017.HK)	U (12/13/2023)	HK\$8.50
Sino Land (0083.HK)	E (06/19/2025)	HK\$11.91
Sun Hung Kai Properties (0016.HK)	O (12/07/2022)	HK\$135.10
Swire Properties (1972.HK)	O (01/06/2026)	HK\$23.18
Wharf Holdings (0004.HK)	U (10/11/2023)	HK\$23.38
Wharf REIC (1997.HK)	U (12/13/2024)	HK\$24.34

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.